

SLC Agrícola

Cost Inflation Extends the Earnings Recovery Timeline; Reiterating Neutral

Neutral

Current Price R\$16.42

Target Price R\$18.00

BBG SLCE3 BZ

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Reaffirming Neutral Rating Amid Cost Pressures

We reiterate our Neutral rating on SLC and reduce our YE2026 target price from R\$19.00/share to R\$18.00/share. Higher-than-expected costs this season may carry into 2026, given the extended sales cycle of key crops such as cotton. While we view the recently announced joint venture positively, given its contribution to deleveraging and reinforcing capital discipline, we believe near-term fundamentals for farming operations remain pressured.

Short-Term Margin Compression Likely to Extend Into 2026

SLC increased its 2024/25 cost guidance by 7% vs. its August update, mainly due to higher chemical intensity in cotton. Although commodity prices and input costs typically move in tandem over time, the recent short-term divergence has compressed margins, particularly in Brazil, where currency appreciation adds another headwind. Given cotton's two-year commercialization cycle, part of this cost shock is likely to affect 2026 results as inventories turn over.

Estimate Cuts Reflect Higher Cost Base and JV Structure

We are reducing our 2026 adj. EBITDA (after leasing) by 27% to R\$1.6bn (or R\$2.4bn before leasing, 12% below consensus). We incorporating higher minority expenses related to the irrigation joint venture, which introduces an accounting impact on earnings. On the positive side, the project should enable planted-area expansion of 5–6 thousand hectares over the next three years, unlocking both first and second crop opportunities in the designated farms.

Valuation and Risks

Our YE2026 target price is 50/50 blended of: (i) a four-year DCF-based valuation; and (ii) fair land value. Our DCF analysis considers: (i) ke of 17.9%; and (ii) a long-term growth rate of 5%. Our fair value of the land is estimated at R\$12.5 billion with proportional stake, with a leasing yield of 3.5%. Downside risks include: (i) a slowdown in cotton demand from Asia and decelerating apparel consumption in the U.S.; (ii) an inability to deliver the expected growth in leased areas; (iii) the re-valuation of leasing costs; (iv) additional crop losses; and (v) crop input prices bouncing back. Upside risks include: (i) higher demand and prices of soft commodities from Brazil due to trade war; and (ii) further depreciation of the BRL

Company Data, December 09, 2025 (closing price)

Bloomberg code	SLCE3 BZ	(R\$ mn)	2024A	2025E	2026E	2027E			
Current Price	R\$16.42	Revenues	6,916	7,603	8,220	8,332			
Target Price (YE 2026)	R\$18.00	EBITDA	2,037	2,513	2,429	2,611			
Price Perf Last 12 Mth (Absolute)	(8.99)%	EBIT	1,513	1,844	1,663	1,770			
52 Week Range (R\$)	15.57 - 21.00	Net Profit	509	707	523	523			
Market Cap (R\$ mn)	7,223	FCFE	396	(961)	(528)	(71)			
Free Float (%)	0.4	Net Debt	3,617	4,623	5,228	5,195			
3-Mth Avg daily vol (R\$ mn)	29	P/E (x)	7.4	10.2	13.8	13.8			
Outst shares (mn)	440	EV/EBITDA (x)	3.6	4.7	5.1	4.8			
(R\$)	2024A	2025E	2026E	2027E	FCFE Yield (%)	10.5	(13.3)	(7.3)	(1.0)
Adj EPS	2.43	1.61	1.19	1.19	Div Yield (%)	11.2	4.8	3.9	3.6
BVPS	20.97	9.93	10.16	10.75	Net Debt/EBITDA (x)	1.8	1.8	2.2	2.0
DPS	2.22	0.79	0.64	0.59					

Sources: FactSet, Company Data and Santander estimates.

Important Disclosures/Certifications are in the "Important Disclosures" section of this report.

U.S. investors' inquiries should be directed to Santander US Capital Markets LLC at (212) 583-4629 / (212) 350-3918.

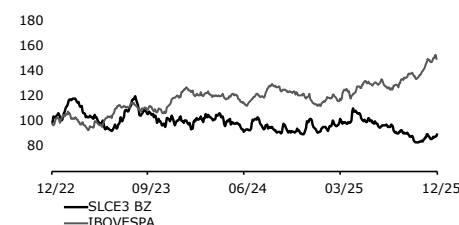
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What Has Changed?

We are lowering our YE2026 TP to R\$18.00, from R\$19.00 previously

Previous TP was set on 11/06/2025

Relative Performance (R\$)



Source: FactSet.

Table 1. Key Company Data

	R\$ mn				US\$			
	2024A	2025E	2026E	2027E	2024A	2025E	2026E	2027E
P&L Account								
Revenues	6,916	7,603	8,220	8,332	1,282	1,354	1,495	1,497
EBITDA	2,037	2,513	2,429	2,611	378	447	442	469
EBITDA YoY Change (%)	(24.8)	23.4	(3.3)	7.5	(30.4)	18.5	(1.3)	6.2
EBITDA as % of Revenue	29.4	33.0	29.6	31.3	29.4	33.0	29.6	31.3
EBIT	1,513	1,844	1,663	1,770	281	328	302	318
Net Financial Result	(999)	(1,053)	(1,085)	(1,203)	(185)	(188)	(197)	(216)
Associates	0	0	0	0	0	0	0	0
Taxes	(33)	(53)	12	21	(6)	(9)	2	4
Minorities	28	(30)	(66)	(66)	5	(5)	(12)	(12)
Net Profit	509	707	523	523	94	126	95	94
Adj Net Profit	509	707	523	523	94	126	95	94
YoY Change (%)	(43.2)	38.9	(26.1)	(0.0)	(47.4)	33.4	(24.5)	(1.2)
as % of Revenues	7.4	9.3	6.4	6.3	7.4	9.3	6.4	6.3
Cash Flow								
EBITDA	2,037	2,513	2,429	2,611	378	447	442	469
Lease Payments	(536)	(535)	(795)	(870)	(99)	(95)	(144)	(156)
Changes in Wkg. Capital	999	(270)	(152)	(8)	185	(48)	(28)	(1)
Capital Expenditures	(1,100)	(1,532)	(871)	(556)	(204)	(273)	(158)	(100)
Cash Financials	(999)	(1,053)	(1,085)	(1,203)	(185)	(188)	(197)	(216)
Cash Taxes	(32)	(53)	12	21	(6)	(9)	2	4
Other Cash Items	28	(30)	(66)	(66)	5	(5)	(12)	(12)
Free Cash Flow to Equity	396	(961)	(528)	(71)	73	(171)	(96)	(13)
Other Invest./Divest.)	0	0	0	0	0	0	0	0
Dividends	424	347	283	261	79	62	51	47
Capital Increases/Other	10	0	(160)	0	2	0	(29)	0
Change in Net Fin. Debt	775	1,200	1,200	0	144	214	218	0
Balance Sheet								
Cash and Equivalents	1,980	2,174	2,769	2,802	321	403	503	497
Current Assets	6,411	6,539	7,161	7,160	1,038	1,211	1,302	1,271
Goodwill	122	122	122	122	20	23	22	22
Non-Curr Assets (ex g'willt)	9,062	10,390	11,216	11,722	1,468	1,924	2,039	2,080
Total Assets	17,574	19,224	21,267	21,806	2,847	3,560	3,867	3,870
Current Liabilities	6,146	5,984	6,453	6,463	995	1,108	1,173	1,147
Non-Current Liabilities	7,324	8,735	10,141	10,343	1,186	1,618	1,844	1,836
Minorities	107	137	203	269	17	25	37	48
Shareholders' Equity	3,998	4,368	4,470	4,731	648	809	813	840
Total Liabilities & Equity	17,574	19,224	21,267	21,807	2,847	3,560	3,867	3,870
Net Financial Debt	3,617	4,623	5,228	5,195	586	856	951	922
Other Ratios								
Dividend Payout (%)	0.7	0.4	0.5	0.5	0.7	0.4	0.5	0.5
EV/EBIT (x)	4.9	6.4	7.5	7.0	4.9	6.4	7.5	7.0
FCFF Yield (%)	16.6	(5.6)	0.4	1.8	16.6	(5.6)	0.4	1.8
P/BV (x)	0.9	1.7	1.6	1.5	0.9	1.7	1.6	1.5

Source: Company Data and Santander estimates.

Investment Case

We see a more challenging outlook for SLC ahead, given (i) the strong capex cycle passed through in 2025 which limited the company's cash flow generation for 2025 and 2026, coupled with (ii) higher input costs for the next crop. On the flip side, we see a rebound in yields and a better outlook for soybean prices ahead. Moreover, we expect SLC to capture 15% of the economic value of the land bank of the leased assets, while the company is currently trading at a ~30% discount to its owned land bank.

Key Value Drivers

SLC has outperformed Brazil's average productivity yields in 70% of its harvests since 2010. Moreover, we expect SLC to deliver a 5.3% return on its complete land bank (including owned and leased area), vs. its leasing cost of 3.5%, implying that the company has been able to capture ~15% of the value of leased land appraisal. As such, growing leased area could move the discount even higher, creating a positive balance of risks.

Investment Risks

Downside risks include: (i) a slowdown in cotton demand from Asia and decelerating apparel consumption in the U.S.; (ii) an inability to deliver the expected growth in leased areas; (iii) the re-valuation of leasing costs; (iv) additional crop losses; and (v) crop input prices bouncing back. Upside risks include: (i) higher demand and prices of soft commodities from Brazil due to trade war; and (ii) further depreciation of the BRL.

Catalysts

(i) Higher planted areas, (ii) growing yields, (iii) re-evaluation of SLC's landbank, (iv) higher commodities prices (corn, soybean, cotton), (v) U.S. economic growth and additional apparel demand in the country, (vi) a weaker BRL.

Company Description

SLC Agrícola is one of the world's largest grain and fiber producers, focused on the production of cotton, soybean and corn. It also owns the SLC Sementes brand, which produces and sells soybean and cotton seeds. The company owns 22 production sites in 7 Brazilian states, totaling 836 thousand hectares (2025-26 crop). The company's business model is based on a modern production system, with large-scale, standardized production units, high technology, strict control of costs and social and environmental responsibility.